

Stanbic Holdings: HY'22 Earnings Note

Stanbic Holdings HY'22 EPS edged up 36.91% to **KES 12.13** higher than our expectations of **KES 11.80**. Additionally, PAT edged up 36.95% y/y to **KES 4.80Bn** driven by a 16.07% y/y decrease in Loan impairment provisioning and a 22.77% increase in Total Operating Income. Customer deposits reduced 0.68% to **KES 258.23Bn** while the loan book grew 17.54% to **KES 244.04Bn**, taking the loan to deposits ratio 14.26% points higher to 94.50%. Stanbic bank's exposure to government securities reduced 36.16% y/y to **KES 52.49Bn** and 11.97% q/q indicating a strategy to slow down on government papers as the yield curve steepening has exposed most lenders to fair value losses. At the current growth rate, we expect the lender to close FY'22 at a PAT of **KES 8.90Bn** being a 23.61% y/y growth.

19th August 2022

Current price: KES 99.00

Target price: KES 102.92

Upside: 3.96%

Recomm: HOLD

52 Week High: KES 108.00

52 Week Low: KES 86.00

YTD Performance: +13.47%

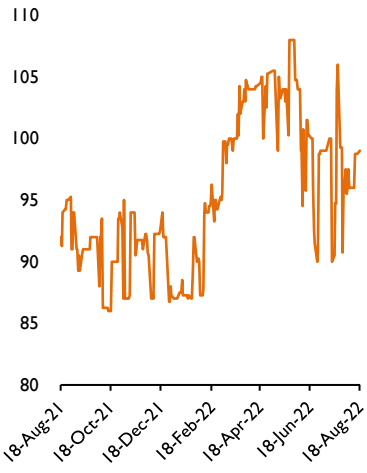
EPS (HY'22): 12.13

- **Non-Funded Income outpaces Net Interest Income:** Non-funded income grew faster at 25.14% to **KES 6.86Bn** attributable to an improvement in the uptake of digital transaction channels and partly a better performance by the investment banking division**.** Effect of widening spreads from the ongoing dollar shortage, depreciation of the Kenyan currency and exposure to the Chinese trade corridor saw the Stanbic Bank forex trading income jump 46.07% y/y to **KES 4.17Bn**. Recovery in lending was reflected in the Group's Net Interest Income growth of 20.89% to **KES 8.34Bn,** even though the bank's fee income from loans reduced 7.88%**.** We are impressed by the consistent almost balanced revenue mix, **58:42** for NII:NFI from **55:45** in HY'21, the best in the sector. We expect the bancassurance and Securities trading subsidiaries to continue supporting NFI growth.

- **Staff costs weighs down on efficiency:** The CTI ratio less impairment provisioning improved 69bps to 48.20% mainly on the back of a 18.07% increase in staff costs to **KES 3.45Bn.** In line with observed industry trend, Loan loss provisions decreased 16.07% y/y to **KES 1.26Bn** but increased **103.22%** q/q indicating increased lending risk in Q2'22 factoring in the effects of economic slowdown from the general elections. We expect operating expenses to continue declining in coming periods given the increased use of digital transaction channels.

- **Asset quality improvement weighed down by Gross NPL growth:** Gross NPLs increased by 16.28% y/y to **KES 24.09Bn**. NPL ratio improved 14bps to 9.49% from 9.35% in HY'21 below the current industry average of 14.70%. Consequently, the NPL Coverage improved to 55.97% from 51.23% in HY'21. We expect a better operating environment in H2'22 and the possible approval of risk-based models to improve the bank's asset quality in the coming quarters.

SBIC 1-Year Share price Movement



Our View and Outlook

Bottomline growth was driven by reduced loan impairment provisioning and Total Operating Income largely from interest income. We expect Non- interest income growth to be driven by continued adoption of digital channels - UNAYO digital platform, a one stop shop for savings, transactions and borrowing, is expected to drive future growth. We expect the corporate loan segment coupled with digital lending in the retail section to continue driving loan book growth. Exposure to the European and Chinese trade corridors coupled with further depreciation of the Kenyan shilling is expected to continue supporting forex trading income growth. Furthermore, customer deposit decline is a point of concern as it shows the bank's declining ability to attract and retain deposit customers, as well as reduced source of lending funds.

The counter's current valuation metrics point to an undervaluation with a current trailing P/E of 5.54x lower than the market's 7.80x and P/TB of 0.82x. With no interim dividend, we foresee a share price retreat in the near term. However, the counter remains a long-term value play. As such, we maintain our HOLD recommendation as we monitor market movements.

Financial Statement Summary

Income Statement	FY18	FY19	FY20	HY'21	FY'21	HY'22	y/y Change
Net Interest Income	12,129.65	13,347.74	12,795.16	6,901.26	14,373.20	8,343.23	20.89%
Net non-Interest Income	9,964.72	11,433.07	10,442.21	5,481.67	10,616.95	6,859.82	25.14%
Total Operating income	22,094.37	24,780.81	23,237.37	12,382.93	24,990.15	15,203.04	22.77%
Provision for Impairment	(1,734.30)	(3,150.56)	(4,875.69)	(1,502.32)	(2,523.55)	(1,260.89)	-16.07%
Total Operating expenses	(11,082.15)	(13,920.49)	(12,134.52)	(7,562.12)	(15,234.41)	(8,596.09)	13.67%
Profit before tax	**8,947.76**	**7,709.76**	**6,227.15**	**4,820.81**	**9,755.74**	**6,606.95**	37.05%
Profit after tax	**6,277.17**	**6,380.62**	**5,192.24**	**3,502.35**	**7,208.09**	**4,796.40**	36.95%
Core EPS	15.88	16.14	13.13	8.86	18.23	12.13	36.91%
DPS	5.80	7.05	3.80	-	9.00	-	

Balance Sheet	FY18	FY19	FY20	HY'21	FY'21	HY'22	y/y Change
Government Securities	72,260.41	70,077.82	87,583.54	82,213.20	59,535.56	52,570.45	-36.06%
Loans and Advances	174,984.71	191,194.57	196,300.03	207,628.97	229,321.28	244,040.54	17.54%
Total Assets	**290,570.25**	**303,624.59**	**328,594.52**	**329,548.06**	**328,871.81**	**341,579.51**	3.65%
Customer Deposits	219,493.91	224,672.91	259,970.05	259,987.99	254,588.38	258,231.01	-0.68%
Total Liabilities	245,946.83	254,589.83	276,863.56	276,042.18	272,418.78	283,389.44	2.66%
Total Equities and Liabilities	**290,570.25**	**303,624.59**	**328,594.52**	**329,548.06**	**328,871.81**	**341,579.51**	3.65%

Source: Stanbic, AIB-AXYS



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